

Syria's terror de-listing will boost reconstruction

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【メール原文】

Terror de-listing will boost reconstruction by easing international aid and financial transactions . After dismantling most Syria sanctions in 2025, t|||||||

Syria

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Short-term trajectory:

Long-term trajectory:

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The United States' move to take Syria off the State Sponsor of Terrorism (SST) list materially improves the prospects for reconstruction finance by removing terrorism-linked export controls, unlocking US and multilateral support channels, and reducing compliance stigma around private-sector transactions.

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Private-sector reentry is likely to be gradual rather than immediate, as derisking, due diligence, weak institutions, damaged infrastructure, and security volatility will continue to cap financial flows even without sanctions.

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The Turkey-Israel rivalry is becoming a central constraint for Syrian stability, with Ankara's backing for Damascus's military rebuilding colliding with Israel's effort to keep Syria weak, raising the risk of further strikes and instability.

Terror de-listing will boost reconstruction by easing international aid and financial transactions. After dismantling most Syria sanctions in 2025, the US has removed Syria from the SST list—ending a designation in place since 1979—and revoked the designation on Hayat Tahrir al-Sham/al-Nusrah Front, the group formerly led by President Ahmed al Sharaa, following a 45-day review period. The US is keeping in place targeted sanctions on associates of former president Bashar al Assad, human rights abusers, drug traffickers, Islamic State and Al Qaeda affiliates, and Iranian proxies.

The SST de-designation removes the terrorism-linked export-control regime (including a punitive 10% US-content de minimis rule that meant even lightly US-sourced equipment required licenses for export to Syria), lifts the restriction on US foreign assistance (including Ex-Im Bank and International Development Finance Corporation financing), and unwinds the mandate that Washington oppose IMF and World Bank lending.

Ending designation lifts a major red flag that kept the private sector away. Western correspondent banks, reinsurers, compliance departments, and many others had long avoided doing business in Syria regardless of whether an international transaction was technically legal. The removal lowers the risk premium on ordinary trade finance and the reentry by foreign banks.

Remaining barriers to financial transactions are narrower but still meaningful. The remaining constraints on international transactions with Syria—including individual Specially Designated Nationals and Blocked Persons listings, the Captagon Act, and standard anti-money laundering and countering the financing of terrorism due diligence—are narrower. Looking ahead, financial sector derisking and Syria's fluctuating stability, limited institutional capacity, degraded infrastructure, and weak sovereignty in many areas, and other local factors will be the main limiting factors on financial flows into the country.

Visible signals of Syria's global financial reintegration include Sharaa conducting the first Visa transaction in the country, with Mastercard (backed by the Central Bank of Syria and the QNB Group) announcing plans to help further build out the country's international card-payment infrastructure, and the finance minister holding talks with Bank of America over potential cooperation.

Syria stands to benefit from derisking the Strait of Hormuz. Removing barriers to transactions eases the path for multinational companies to enter the Syrian market, particularly in finance, energy, infrastructure, and logistics. The most concrete interest in major infrastructure and transport projects will likely continue to come from Turkey and the Gulf Cooperation Council (GCC) countries, which see Syria as part of a wider strategy to reduce dependence on the Strait of Hormuz (see: Derisking Hormuz will reshape regional trade corridors , 21 July 2026).

Projects inaugurated since the rise of the new regime and at various stages of implementation or completion include the \$15 billion Iraq-Syria oil pipeline to bypass Hormuz; the Turkey-Syria-Jordan transport agreement to link Anatolia to Aqaba and onward to the GCC countries by road, sea, and rail; the \$800 million 30-year build-operate-transfer concession to the UAE's DP World for the Port of Tartous; and the Qatari-financed Kilis-Aleppo gas pipeline to feed power generation in Aleppo with Azerbaijani gas.

Turkey-Israel proxy conflict remains barrier to Syrian stability and reconstruction. Nonetheless, internal communal tensions and a volatile regional environment, especially the interplay of Turkey-Israel competition and the longer-term fallout of the Iran conflict, will constrain Syria's ability to realize its ambitions as a land-based energy and logistics corridor connecting the Arab Gulf states, Turkey, and Europe.

This became clear after the sanctions-lifting in mid-2025, when initial Western business and investor enthusiasm for the Syrian market quickly evaporated after government and government-backed forces were accused of committing atrocities against the Druze minority in the south and Israel bombed Damascus, ostensibly to protect the Druze. While a compromise with the Kurds in August is a step in the right direction, concern about the Islamist government's treatment of minorities and the associated potential for civil conflict poses a persistent challenge for Western companies and investors.

Since the fall of the Assad regime, Israel has expanded its occupation of Syrian territory and repeatedly conducted strikes there, initially to degrade Syrian military capabilities and establish an air corridor to Iran; later to impose limits on Syrian forces moving toward southern Syria and the Israeli border and to provide backing for favored Syrian Druze factions; and more recently to prevent Turkey from entrenching itself. After Israeli strikes on the Abu Duhur airbase in northwestern Idlib in August to allegedly block Turkish troops and military equipment from deploying, Syria's Foreign Minister Asaad al Shaibani and Mossad director Roman Gofman met for US-mediated talks in Jordan to calm tensions. Still, further hostilities are likely. Damascus's determination to rebuild the country's military, Ankara's efforts to institutionalize its influence in Syria, and Israel's preference to keep Syria weak and fragmented to preserve its freedom of action in the country to deter perceived threats and advance its

strategic objectives will drive friction.

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